NPTEL Practice MCQ Set

150 Questions | Performance and Reward Management | Weeks 0-12

Correct answers are highlighted in green within each question.

A fresh examiner-oriented practice set based on the supplied Week 0-12 assessment themes. Questions include conceptual checks and application-based scenarios. This is a practice resource, not an official or guaranteed prediction of the exam.

Instructions: Read each question and review the four options. The green-highlighted option is the correct answer. No separate answer key or explanations are included.

Contents

Week 0 | Foundations of Performance and Reward Management (12 questions)

Week 1 | The Performance-Management Process (12 questions)

Week 2 | Strategic Planning, SWOT, and SMART Goals (12 questions)

Week 3 | Performance Dimensions, Competencies, and Measurement (12 questions)

Week 4 | Appraisal Methods, Rating Errors, and Implementation (12 questions)

Week 5 | Development, Coaching, Teams, and Recognition (12 questions)

Week 6 | Total Rewards, Fairness, and Engagement (12 questions)

Week 7 | Incentive Plans and Reward Theories (11 questions)

Week 8 | Job Evaluation and Pay Structures (11 questions)

Week 9 | Executive Rewards, Incentive Risks, and Knowledge Workers (11 questions)

Week 10 | Public-Sector Pay and Retirement Benefits (11 questions)

Week 11 | Reward-System Design and Review (11 questions)

Week 12 | Ethics, Bias, and Fair Appraisal (11 questions)

WEEK 0 - FOUNDATIONS OF PERFORMANCE AND REWARD MANAGEMENT

Q1. A service firm asks every employee to translate the organization's three-year growth priority into role-specific objectives. What is the main purpose of this exercise?

A. To separate performance measures from business outcomes

B. To ensure all employees receive the same rating

✓ **C. To align individual performance with organizational strategy**

D. To replace individual appraisal with business planning

Q2. A manager meets employees only once at year-end to assign ratings. There are no interim goals, coaching, or progress discussions. Which description is most accurate?

A. A form of job evaluation

✓ **B. An appraisal-focused process rather than full performance management**

C. A complete continuous performance-management cycle

D. A strategic reward-management system

Q3. In the ownership distinction used in the course material, which pairing is correct?

A. Employees own performance appraisal; finance owns performance management

B. Senior executives own both processes exclusively

C. HR owns performance management; line managers own appraisal

✓ **D. Line managers own performance management; HR owns the appraisal system**

Q4. Which item most directly provides the broad direction from which organizational goals and objectives are developed?

A. The annual attendance register

B. A list of individual salary increments

C. A ranking of current employees

✓ **D. The vision and mission statements**

Q5. Which practice best reflects the meaning of performance management?

A. Ranking employees without discussing expected outcomes

B. Holding one meeting to decide bonuses

✓ **C. Continuously planning, supporting, monitoring, and improving performance**

D. Recording mistakes only after the year ends

Q6. A company introduces recognition, career-development opportunities, and challenging assignments in addition to salary. Which assumption underlies this design?

A. Only cash can motivate employees

B. Non-financial rewards should replace every salary

✓ **C. Rewards may be both financial and non-financial**

D. Rewards should be independent of organizational goals

Q7. During appraisal, a supervisor gives an employee an unusually high rating because their first meeting months earlier went exceptionally well. Which error is most likely?

A. Contrast error

✓ B. Primacy error

C. Central-tendency error

D. Recency error

Q8. An employee's total package includes medical coverage and other benefits beyond basic salary. These benefits are most commonly described as:

A. Performance standards

✓ B. Fringe benefits

C. Job-ranking points

D. Market posture

Q9. Why should performance management and reward management be designed together?

✓ A. To ensure rewards reinforce valued performance and strategic priorities

B. To prevent managers from giving feedback

C. To make each department use unrelated goals

D. To remove all non-financial rewards

Q10. An individual has no adequate pension benefit from prior service and is learning about a pension arrangement discussed in the course material. Which option matches that material?

A. Bell Curve Method

B. Scanlon Plan

✓ C. New Pension Scheme

D. BARS

Q11. Which objective is strongest for evaluating whether an employee has improved customer response time?

✓ A. Reduce average first-response time from 12 hours to 6 hours by the end of the quarter

B. Become better at customer service

C. Try to respond faster whenever possible

D. Focus more on customers

Q12. A department achieves its individual targets, but those targets do not support the company's stated expansion priority. What is the central weakness?

✓ A. Poor alignment between goals and strategy

B. Overuse of contextual performance

C. Excessive transparency

D. Too much employee development

WEEK 1 - THE PERFORMANCE-MANAGEMENT PROCESS

Q13. At the start of the cycle, a manager and employee agree on expected outcomes, standards, skills, and support needed. Which stage is this?

A. Performance review

B. Performance renewal

C. Performance execution

✓ **D. Performance planning**

Q14. During the quarter, an employee works toward agreed objectives, coordinates with colleagues, and records progress. Which stage is most directly represented?

A. Performance renewal

B. Job evaluation

✓ **C. Performance execution**

D. Performance planning

Q15. A manager notices a project slipping and discusses corrective steps with the employee before the deadline. Which practice is most evident?

A. External benchmarking

✓ **B. Continuous feedback and coaching**

C. Red-circling

D. Forced distribution

Q16. Which sequence best represents the cycle illustrated in the course questions?

A. Monitor - promote - plan - select

B. Review - reward - plan - punish

✓ **C. Plan - act - monitor - review**

D. Reward - dismiss - rank - recruit

Q17. An employee can choose how to complete an assignment but must explain results and deviations from the agreed target. This illustrates:

✓ **A. Empowerment with accountability**

B. Unstructured appraisal

C. Centralized control

D. Empowerment without accountability

Q18. What best distinguishes performance management from a standalone annual appraisal?

A. It avoids objective-setting

B. It occurs only after a pay decision

✓ **C. It is a continuous process linked to improvement**

D. It relies solely on employee self-ratings

Q19. An annual review identifies a skill gap and sets a development action for the next cycle. Which element of the process is being emphasized?

A. Forced ranking

B. Market pricing

C. Pension administration

✓ **D. Performance renewal and development**

Q20. An organization wants employees to understand why a new performance system is being introduced before launch. Which action is most suitable?

A. Replace manager conversations with a single rating form

B. Launch it quietly and explain it only after complaints

C. Keep criteria confidential from all employees

✓ **D. Use workshops and clear communication about purpose and process**

Q21. A manager records only final results but never clarifies expected standards at the beginning. Which process element is most obviously missing?

A. Market benchmarking

B. Retirement benefits

✓ **C. Performance planning**

D. Employee segmentation

Q22. Which scenario best indicates that feedback is developmental rather than merely punitive?

✓ **A. A manager offers specific guidance and agrees on steps to improve**

B. An employee is ranked without evidence

C. A bonus is withheld without explanation

D. A supervisor lists errors and ends the meeting

Q23. A formal appraisal is conducted every March, but managers discuss neither progress nor difficulties during the year. What is the key limitation?

A. It automatically aligns all goals with strategy

✓ **B. It overemphasizes periodic evaluation and neglects continuous management**

C. It confuses job evaluation with market analysis

D. It provides too much continuous feedback

Q24. Which combination is most likely to make employee goals actionable?

A. A list of rewards with no performance criteria

✓ **B. Clear outcomes, standards, timelines, and required support**

C. A rating scale without role expectations

D. Broad aspirations with no standards

WEEK 2 - STRATEGIC PLANNING, SWOT, AND SMART GOALS

Q25. A hospital's strategy prioritizes faster rural access, but nurses are assessed only on paperwork completion. What is the primary problem?

A. Too much internal benchmarking

B. Overuse of pension benefits

C. Excessive pay transparency

✓ D. Poor strategic alignment of performance goals

Q26. Which statement best describes strategic planning?

✓ A. Determining long-term goals and allocating resources to achieve them

B. Replacing external analysis with imitation

C. Choosing rewards before identifying a direction

D. Focusing only on daily employee attendance

Q27. A company has strong designers and a respected quality reputation. Demand for sustainable clothing is rising, and the company plans to use its strengths to meet that demand. Which SWOT pairing is this?

A. Weakness-opportunity

B. Weakness-threat

✓ C. Strength-opportunity

D. Strength-threat

Q28. A business has outdated equipment while technologically advanced competitors enter its market. Which SWOT elements are represented?

✓ A. Threat and weakness

B. Strength and opportunity

C. Opportunity and strength

D. Weakness and opportunity

Q29. A proposed vision reads, 'We will do many good things someday.' What is its main weakness?

A. It links too closely to strategy

B. It is overly specific

✓ C. It lacks clarity and inspirational direction

D. It is too measurable

Q30. Which objective best follows SMART goal-setting principles?

A. Improve quality as much as possible

B. Become the best service team

C. Try to reduce delays soon

✓ D. Increase on-time delivery from 82% to 95% by 31 March

Q31. A firm announces an innovation strategy but continues to reward employees solely for reducing short-term costs. What is the likely consequence?

A. External threats become internal strengths

B. Reward systems reinforce innovation automatically

✓ C. The reward and performance systems may work against the strategy

D. The strategy becomes measurable by default

Q32. Which measure best converts the strategic aim 'improve customer experience' into an assessable objective?

✓ A. Increase satisfaction survey results from 80% to 90% within 12 months

B. Ensure staff think positively

C. Make customers happier

D. Encourage better service

Q33. A manager proposes copying a competitor's new product without analysing the firm's capabilities or market conditions. What is the strongest critique?

A. SWOT analysis applies only to employees

B. Product launches cannot form part of strategy

✓ C. Strategic decisions should follow analysis of internal and external factors

D. Competitors should never be observed

Q34. Which is an external factor in a SWOT analysis?

A. A lack of internal training

B. A skilled design team

✓ C. A rise in customer demand for sustainable products

D. A legacy production system

Q35. A company's departmental targets are measurable, but several targets encourage behaviour contrary to the company's long-term direction. What should be corrected first?

✓ A. Align the measures with strategy

B. Stop communicating the vision

C. Replace all goals with equal rewards

D. Remove all measures

Q36. Which sequence is most logical when translating strategy into employee objectives?

✓ A. Set long-term direction, define goals, then translate them into measurable role objectives

B. Choose bonuses before identifying goals

C. Rank employees before setting standards

D. Choose ratings, then invent a vision

WEEK 3 - PERFORMANCE DIMENSIONS, COMPETENCIES, AND MEASUREMENT

Q37. An engineer knows the product specifications but struggles to apply them persuasively during a client demonstration. Which performance component is most likely weak?

A. Pension contribution

B. Contextual reward

C. Declarative knowledge

✓ **D. Procedural knowledge**

Q38. An employee completes assigned reports and also voluntarily helps new colleagues and supports teammates during a crisis. The additional activities illustrate:

A. Market analysis

B. Only task performance

C. Job grading

✓ **D. Contextual performance**

Q39. A firm evaluates sales managers only by sales growth and profit, not by how they achieved them. Which measurement approach is being used?

A. Competency approach

✓ **B. Results approach**

C. Trait approach

D. Behaviour approach

Q40. A target says, 'Be more committed to service,' with no indicator or deadline. What is the main defect?

A. It creates an enabling environment

✓ **B. It lacks specificity and measurability**

C. It is necessarily a results measure

D. It is too measurable

Q41. A hospital requires nurses to record patient information accurately and follow basic treatment protocols. These baseline capabilities are:

A. Relational rewards

B. Executive incentives

✓ **C. Threshold competencies**

D. Differentiating competencies

Q42. Two employees meet their task targets, but one routinely shares knowledge and supports team members. Which measure captures this difference?

✓ **A. Contextual-performance evidence**

B. Only the output total

C. Job ranking

D. Compa-ratio

Q43. To evaluate whether supervisors resolve conflict constructively and coach their teams, which approach is most directly suited?

A. Results-only approach

✓ **B. Behaviour approach**

C. Market-rate analysis

D. Pension approach

Q44. A performance system gathers evidence about employees' knowledge, skills, and ability to carry out work-related behaviours. This is closest to a:

A. Defined-benefit scheme

B. Commission-only plan

✓ **C. Competency approach**

D. Forced distribution

Q45. An organization gathers a supervisor's, peers', subordinates', and clients' feedback about a manager. The key strength of this method is that it:

A. Removes the need for development

B. Eliminates all bias

C. Measures only numerical results

✓ **D. Captures performance from multiple perspectives**

Q46. A company has no published standards, but managers are asked to rate employee performance consistently. What should be done before rating?

A. Use only informal impressions

B. Introduce a forced ranking immediately

✓ **C. Define clear performance objectives and standards**

D. Tie every rating to salary without discussion

Q47. An employee is rated highly in communication, punctuality, teamwork, and documentation because one presentation impressed the manager. Which error is most likely?

A. Contrast error

B. Central tendency

✓ **C. Halo error**

D. Primacy error

Q48. Why are role-specific indicators preferable to a single generic measure for every position?

✓ **A. They reflect the distinct outputs and behaviours relevant to each role**

B. They eliminate the need for standards

C. They ensure employees receive the same rating

D. They prioritize personal popularity over evidence

WEEK 4 - APPRAISAL METHODS, RATING ERRORS, AND IMPLEMENTATION

Q49. A company requires approximately 10% of staff to be rated outstanding, 70% average, and 20% below average regardless of actual performance. Which method is being used?

A. Critical incident method

✓ **B. Bell Curve / forced distribution**

C. BARS

D. Management by Objectives

Q50. A manager and employee jointly agree on goals and later assess results against those goals. Which appraisal philosophy is this?

✓ **A. Management by Objectives (MBO)**

B. Forced ranking

C. Graphic rating scale

D. Confidential reporting

Q51. A bank creates concrete behavioural examples for poor, acceptable, and excellent performance on each dimension. Which method is this?

A. Market Rate Analysis

B. Essay Method

✓ **C. Behaviourally Anchored Rating Scales (BARS)**

D. Bell Curve Method

Q52. Candidates for a leadership role complete simulations, role plays, and group discussions observed by trained assessors. Which technique is being used?

✓ **A. Assessment Centre Method**

B. Central tendency rating

C. Compa-ratio analysis

D. Job ranking only

Q53. A supervisor gives nearly everyone an average score to avoid difficult conversations, including exceptional and poor performers. Which error is this?

A. Recency error

B. Leniency error

✓ **C. Central tendency error**

D. Halo error

Q54. A supervisor inflates ratings for most employees regardless of evidence. Which rating error is most evident?

A. Contrast error

B. Primacy error

C. Strictness error

✓ **D. Leniency error**

Q55. An assessor allows a very recent incident to dominate the entire annual rating. This is:

✓ **A. Recency error**

B. Central tendency error

C. Primacy error

D. Halo error

Q56. A manager compares each employee with the last person assessed rather than using common standards. Which error may result?

✓ **A. Contrast error**

B. Leniency error

C. Central tendency error

D. Primacy error

Q57. An employee's annual targets are ignored in the final review, which is based on the manager's general impression. Which implementation flaw is illustrated?

A. Effective strategic alignment

B. Excessive transparency

✓ **C. Disconnection between goal setting and evaluation**

D. Too much job analysis

Q58. Which method is most directly based on recording specific examples of effective or ineffective job behaviour?

✓ **A. Critical Incident Method**

B. Broad-banding

C. Point-Factor Method

D. Cafeteria Plan

Q59. Why might a well-designed performance system still fail after launch?

A. It uses any measurable objective

B. It always includes too much feedback

✓ **C. Employees do not understand expectations and departments apply inconsistent criteria**

D. Managers communicate the system too clearly

Q60. What is the strongest reason to communicate a new appraisal system before putting it into operation?

A. Communication removes the need for evidence

✓ **B. It builds understanding, trust, and acceptance**

C. It makes objective-setting unnecessary

D. It guarantees everyone receives a high rating

WEEK 5 - DEVELOPMENT, COACHING, TEAMS, AND RECOGNITION

Q61. A performance meeting discusses an employee's future career aspirations, skills to build, and experiences needed for greater responsibility. Which activity is this?

✓ **A. Personal Development Planning**

B. Forced distribution

C. Commission calculation

D. Job classification

Q62. A manager meets a newly promoted supervisor weekly to discuss real problems, provide feedback, and improve on-the-job leadership. This is:

A. Market pricing

B. Forced ranking

C. Job evaluation

✓ **D. Coaching**

Q63. A senior colleague explains experience, offers advice, and gradually increases a new employee's confidence and responsibility. What role is most directly described in the supplied course material?

✓ **A. Coach**

B. Compensation specialist

C. Recruiter

D. Auditor

Q64. Employees from finance, production, logistics, and marketing are temporarily assembled to deliver a six-month initiative and then return to their departments. This is a:

✓ **A. Project team**

B. Service team

C. Self-managed team

D. Permanent work team

Q65. Every team member receives an identical bonus even when contributions differ, and some reduce their effort. This behaviour is known as:

A. Competency mapping

✓ **B. Social loafing**

C. Job enlargement

D. Strategic dialogue

Q66. A project bonus is split between team results and each member's contribution. What is the main design advantage?

A. It discourages cooperation

✓ **B. It balances collaboration and individual accountability**

C. It eliminates the need for goals

D. It removes all performance differences

Q67. A manager publicly recognizes an employee's successful handling of a difficult client and offers a high-visibility assignment. This most directly provides:

✓ **A. Non-financial recognition and development opportunity**

B. A job-evaluation score

C. Only a pension benefit

D. A market supplement

Q68. Why can equal team bonuses sometimes be viewed as unfair by high contributors?

A. Bonuses must always be seniority-based

B. Teamwork should never be rewarded

✓ **C. The reward may not reflect differences in individual contribution**

D. Successful projects have no value

Q69. Which conversation is most suited to exploring a worker's purpose, future direction, and desired capabilities?

A. Disciplinary interview

✓ **B. Strategic dialogue**

C. Technical compliance audit

D. Exit clearance

Q70. A development plan identifies a skill gap but no action, owner, or follow-up date. What is the main weakness?

A. It contains too many measurable targets

✓ **B. It lacks actionable development steps and follow-up**

C. It overuses team reward

D. It is too evidence-based

Q71. An organization wants recognition to encourage both cooperation and personal responsibility. Which design is best?

A. Give awards randomly to avoid comparisons

B. Reward only individual competition and ignore shared outcomes

✓ **C. Combine team outcomes with evidence of individual contribution**

D. Reward only the team's final output with no individual assessment

Q72. An organization assigns an employee a stretch task and then schedules regular feedback to build a capability identified in the development discussion. Which purpose is most directly served?

A. External salary benchmarking

B. Job classification

C. Forced ranking

✓ **D. Skill development through coaching**

WEEK 6 - TOTAL REWARDS, FAIRNESS, AND ENGAGEMENT

Q73. An employee receives salary, bonus, insurance, flexibility, learning opportunities, and recognition. Which philosophy best describes this package?

A. Piece-rate system

B. Forced distribution

✓ **C. Total Reward approach**

D. Job-ranking method

Q74. An employee stays with an employer despite a slightly higher external salary because of meaningful work, flexibility, supportive culture, and growth. These are best described as:

A. Pension multipliers

B. Only direct financial rewards

C. Job evaluation points

✓ **D. Relational rewards**

Q75. A company ties long-term incentives and recognition to its innovation strategy. This is an example of:

A. Seniority-only pay

B. Confidential reporting

C. Job classification

✓ **D. Strategic Reward Management**

Q76. Two jobs with similar responsibilities and effort receive substantially different pay without a clear reason. Which principle is most directly questioned?

A. Efficiency wage

B. Segmentation

✓ **C. Equity**

D. Broad-banding

Q77. Employees understand how bonus decisions are made and how to appeal them. Which feature is most visible?

A. Forced distribution

✓ **B. Transparency**

C. Pay secrecy

D. Confidentiality

Q78. Promotion decisions follow documented rules applied consistently to all employees. People who are not promoted still believe the process was fair. This reflects:

A. Moral hazard

✓ **B. Procedural justice**

C. Piece-rate pay

D. Distributive justice only

Q79. An employee receives an outcome they consider disappointing but believes the decision process was consistent and unbiased. Which distinction is important?

A. Transparency requires equal pay for all jobs

B. Fair process always guarantees a preferred outcome

C. Equity means the outcome must be identical

✓ D. Procedural fairness can be perceived separately from the outcome

Q80. An employee is satisfied with pay but frustrated by limited training, learning, and career progression. In the Hay Group model referenced by the course, which pillar is weakest?

A. Work-life balance

B. Tangible rewards

✓ C. Future growth opportunity

D. Enabling environment

Q81. A company gives staff safe working conditions, effective tools, and information needed to do their jobs. Which Hay Group pillar is emphasized?

A. Tangible rewards

B. Future growth

C. Tournament rewards

✓ D. Enabling environment

Q82. A manager argues that fairness means giving everyone exactly the same salary regardless of role or contribution. What is the best response?

✓ A. Fairness may require rewards to reflect contribution and performance

B. Performance should never influence rewards

C. Equality and equity are always identical

D. Pay decisions should be hidden

Q83. A specialist is assigned overseas for two years and receives relocation, housing, and education support in addition to salary. Which area is involved?

✓ A. International reward management

B. Cafeteria plan only

C. Central tendency

D. Job ranking

Q84. Employees view a pay outcome as fair because it reflects contribution, and they also trust the consistent process used to decide it. Which combination is most relevant?

A. Pay posture and compa-ratio

B. Moral hazard and tournament theory

✓ C. Equity and procedural justice

D. Task and contextual performance

WEEK 7 - INCENTIVE PLANS AND REWARD THEORIES

Q85. A company pays above-market wages and later sees lower turnover, higher productivity, and less absenteeism. Which theory best explains the intended effect?

A. Classical Economic Theory

✓ **B. Efficiency Wage Theory**

C. Tournament Theory

D. Agency Theory

Q86. Employees share in savings generated by suggestions that improve productivity and reduce waste. Which plan is the closest match?

✓ **A. Scanlon Plan**

B. ESOP only

C. Defined-benefit plan

D. Cafeteria plan

Q87. Workers receive different piece rates depending on whether they meet a defined production standard. Which incentive system is most closely associated with the source questions?

✓ **A. Taylor's Differential Piece Rate System**

B. Wellness program

C. Point-Factor Method

D. Broad-banding

Q88. A startup grants stock options that vest after several years of service. The intended purpose is primarily to:

A. Avoid measuring performance forever

✓ **B. Create employee ownership and longer-term commitment**

C. Replace all fixed salary immediately

D. Provide short-term meal allowances

Q89. An employee's extra payment depends on reaching specified performance targets. Which reward arrangement does this describe?

A. Fixed pay only

B. Seniority-only pay

✓ **C. Contingent pay**

D. Equal reward regardless of results

Q90. Both employer and employee make contributions that accumulate toward a retirement benefit. Which option from the source set best matches?

✓ **A. Provident Fund**

B. Recognition award

C. Performance bonus

D. Stock option

Q91. A manager earns incentives only when predefined quality, client satisfaction, and completion targets are met. Which principle is most evident?

A. Seniority-only reward

✓ **B. Performance-related pay**

C. Equal pay regardless of result

D. Fixed compensation

Q92. An employee earns more because specialized certifications and analytical skills increase productivity. Which theory best explains the role of skill investment?

A. Agency Theory

B. Reinforcement Theory

C. Tournament Theory

✓ **D. Human Capital Theory**

Q93. Staff receive a fixed benefits budget and choose between health cover, childcare, education assistance, or travel benefits. This is a:

A. Bell Curve

B. Scanlon Plan

✓ **C. Cafeteria / Flex-Fund Plan**

D. Taylor differential piece rate

Q94. An employer introduces fitness memberships, counselling, and preventive health checks to address employee stress. This is a:

A. Job evaluation method

B. Contingent pay plan

✓ **C. Wellness program**

D. Market supplement

Q95. Which is the most likely risk of making production quantity the only determinant of earnings?

✓ **A. Workers may prioritize output at the expense of quality**

B. Quality automatically improves

C. Machine breakdowns cease to matter

D. All employees become equally productive

WEEK 8 - JOB EVALUATION AND PAY STRUCTURES

Q96. Two jobs with very different responsibility and financial accountability are placed in the same grade solely because their titles sound similar. What fundamental step has been missed?

A. Calculating a bonus tax

B. Applying a recency correction

C. Introducing a wellness program

✓ **D. Evaluating the relative worth of the jobs**

Q97. Wages for a hard-to-find occupation rise because competing employers are recruiting aggressively from the same labour pool. Which explanation matches the source set?

A. Kantian ethics

B. Agency Theory only

C. Central Tendency Theory

✓ **D. Classical Economic Theory**

Q98. An HR team weights knowledge, problem-solving, responsibility, and working conditions, then scores each job. Which method is this?

A. Simple ranking

✓ **B. Point-Factor Method**

C. Graphic rating scale

D. Assessment centre

Q99. Shareholders introduce stock-based executive compensation to discourage leaders from focusing only on personal short-term gains. Which theory supports the design?

A. Human Capital Theory only

B. Efficiency Wage Theory

C. Classical Economic Theory

✓ **D. Agency Theory**

Q100. Before scoring jobs with a point-factor system, why must an organization define compensable factors?

A. They replace market data entirely

✓ **B. They establish the dimensions against which job value will be assessed**

C. They determine every employee's annual bonus directly

D. They eliminate the need for job descriptions

Q101. A newly created role is compared with existing roles already evaluated internally. Which technique is being used?

A. Critical incident method

B. Forced distribution

C. External market pricing only

✓ **D. Internal benchmarking**

Q102. An organization replaces 18 narrow grades with five broad salary bands to give managers greater flexibility. What structure is this?

A. Piece-rate structure

B. Commission-only structure

C. Narrow-graded structure

✓ **D. Broad-banded structure**

Q103. A compensation survey shows that software architects are paid below the industry median. HR proposes adjusting salary ranges to improve attraction and retention. This is:

✓ **A. Market Rate Analysis**

B. Job rotation

C. Performance execution

D. Halo correction

Q104. A job is matched to standardized grade descriptions based on its responsibilities and required expertise. Which method is closest?

A. Bell Curve Method

B. Role-to-role matching only

C. Forced ranking

✓ **D. Role-to-Grade Analytical Matching**

Q105. Why should survey jobs be compared using duties, responsibilities, and reporting relationships rather than titles alone?

A. Descriptions remove the need to check market data

B. Titles determine performance ratings

C. Titles have exactly the same meaning in every organization

✓ **D. Job descriptions give a more accurate basis for comparison**

Q106. A point-factor evaluation assigns values to job factors and combines them into a total score. What is this score intended to indicate?

A. The employee's personality

✓ **B. The relative worth of the job within the evaluation framework**

C. The latest month's sales result

D. The employee's retirement age

WEEK 9 - EXECUTIVE REWARDS, INCENTIVE RISKS, AND KNOWLEDGE WORKERS

Q107. A board links substantial CEO pay to long-term stock performance to reduce focus on short-term profit at the expense of sustainability. Which theory most strongly supports this?

A. Classical Economic Theory only

✓ **B. Agency Theory**

C. Central Tendency Theory

D. Procedural justice only

Q108. Senior executives compete for a CEO role because the winner receives a very large compensation increase. Which theory best explains the motivational structure?

A. Human Capital Theory

B. Kantian ethics

C. Efficiency Wage Theory

✓ **D. Tournament Theory**

Q109. Which component of a senior executive's package most directly links personal wealth to long-term shareholder value?

✓ **A. Stock options**

B. Fixed meal benefit

C. Basic salary

D. Routine allowance

Q110. A CEO pursues high-risk investments because the immediate bonus is based entirely on short-term profit, while later losses fall on the company. What concern does this illustrate?

A. Compa-ratio

B. Broad-banding

C. Procedural justice

✓ **D. Moral hazard**

Q111. A sales representative is paid only a percentage of the value of sales and receives no fixed salary. Which arrangement is used?

A. Salary plus bonus

B. Profit-sharing plan

C. Defined-benefit plan

✓ **D. Commission-only plan**

Q112. A call centre rewards only the number of calls handled. Employees shorten conversations and customer satisfaction declines. What lesson is clearest?

A. Customer outcomes should never be measured

✓ **B. Reward measures can unintentionally encourage undesirable behaviour**

C. Quantity targets always capture total performance

D. Fixed salaries eliminate every service issue

Q113. A knowledge worker values intellectual freedom, challenging assignments, and opportunities to learn more than piece-rate payments. Which motivators are most relevant?

✓ **A. Autonomy and personal growth**

B. Attendance bonuses only

C. Fixed output quotas only

D. Physical-effort incentives

Q114. A payment-by-results scheme increases output but also increases defective products. What is the common drawback illustrated?

A. Excessive pension security

✓ **B. Quality deterioration due to output focus**

C. Guaranteed improvement in teamwork

D. Reduced transparency in every case

Q115. Workers miss targets because a machine breakdown and shortage of raw materials reduce output despite diligent effort. Why might an output-based reward be viewed as unfair?

A. Workers should never have performance targets

✓ **B. Rewards are influenced by factors beyond employee control**

C. The company has eliminated all external risks

D. Output-based rewards always pay the same amount

Q116. A bank wants relationship managers to increase sales without damaging customer satisfaction or long-term client relationships. Which plan is best?

✓ **A. Salary plus bonus tied to both sales and customer satisfaction**

B. Commission based only on sales volume

C. Fixed salary with no performance measures

D. Seniority increases only

Q117. What is a central design safeguard when introducing executive incentives?

A. Reward short-term outcomes only

✓ **B. Consider longer-term outcomes and the risks created by the chosen measures**

C. Avoid defining performance conditions

D. Make rewards unrelated to company objectives

WEEK 10 - PUBLIC-SECTOR PAY AND RETIREMENT BENEFITS

Q118. In the course's discussion of the 7th Central Pay Commission, what minimum basic pay is identified as recommended?

A. Rs. 25,000

B. Rs. 21,000

C. Rs. 15,000

✓ **D. Rs. 18,000**

Q119. A pay matrix converts an employee's previous basic pay under the prior pay structure using a uniform multiplier. What is this multiplier called in the source question?

A. Pension Multiplier

B. Risk and Hardship Index

✓ **C. Fitment Factor**

D. Dearness Allowance

Q120. Under Plan A, the pension is predetermined by service and final salary. Under Plan B, retirement income depends on contributions and investment returns. Plan A is a:

A. Cafeteria benefits plan

✓ **B. Defined Benefit Scheme**

C. Market-linked contribution account

D. Defined Contribution Scheme

Q121. According to the supplied course key, the employer contribution to NPS was increased to 14% from which level?

A. 8%

B. 12%

C. 15%

✓ **D. 10%**

Q122. What annual increment rate is identified in the supplied course material for the 7th Pay Commission?

A. 2%

✓ **B. 3%**

C. 2.5%

D. 4%

Q123. What is the maximum assured monthly pension amount described in the supplied Atal Pension Yojana question?

A. Rs. 3,000

B. Rs. 2,000

C. Rs. 4,000

✓ **D. Rs. 5,000**

Q124. A difficult posting attracts a special allowance determined using the framework named in the course questions. Which is it?

A. Pay Rationalization Matrix

✓ **B. Risk and Hardship Matrix**

C. Compensation Adjustment Grid

D. Occupational Exposure Index

Q125. Which authority is identified in the supplied materials as regulating the National Pension System?

A. SEBI

B. IRDAI

C. RBI

✓ **D. PFRDA**

Q126. A subscriber wants an NPS account with more flexibility for voluntary deposits and withdrawals alongside the Tier I account. Which account is suggested in the supplied question bank?

A. EPF account

B. CGEGIS account

✓ **C. NPS Tier II account**

D. PRAN Plus account

Q127. Which statement correctly distinguishes defined-benefit from defined-contribution retirement plans?

✓ **A. Defined benefit specifies a benefit; defined contribution depends on contributions and investment returns**

B. Defined benefit depends entirely on market returns

C. Both guarantee identical pensions

D. Defined contribution always guarantees a fixed pension

Q128. Why is it important to distinguish a pension scheme's guaranteed benefit from a contribution-based account?

A. They have identical risk allocation

✓ **B. The employee's retirement outcome and exposure to investment performance differ**

C. It determines the employee's appraisal rating

D. It eliminates the need to contribute

WEEK 11 - REWARD-SYSTEM DESIGN AND REVIEW

Q129. A reward system includes salary, benefits, flexibility, recognition, and career development rather than focusing on pay increases alone. Which philosophy is this?

✓ **A. Total Rewards Approach**

B. Job Evaluation Approach

C. Broad-Banding Approach

D. Market Pricing Approach

Q130. Why should an organization periodically review a reward system instead of leaving it unchanged for a decade?

A. Employee preferences never change

B. Reviewing pay eliminates strategy

✓ **C. Reward systems must evolve with business strategy and workforce needs**

D. The law requires every reward system to change each year

Q131. Before deciding pay ranges, HR identifies what the reward system should accomplish. Which development step is this?

A. Market benchmarking

B. Pilot testing

C. Red-circling

✓ **D. Setting reward objectives**

Q132. An organization compares its reward practices with leading industry organizations to identify gaps. Which approach is being used?

A. Forced distribution

✓ **B. Evidence-based reward development / benchmarking**

C. Central tendency

D. Job rotation

Q133. Before a full rollout, HR tests a redesigned reward system in one department, gathers feedback, and makes adjustments. This is:

✓ **A. Pilot testing**

B. Job classification

C. Red-circling

D. Commission-only reward

Q134. An employee's salary is above the maximum of the assigned pay range, so future increases are frozen while the range catches up. Which practice is this?

A. Green-circling

B. Internal benchmarking

✓ **C. Red-circling**

D. Broad-banding

Q135. A market supplement was introduced during a talent shortage. The market later stabilizes. What should the employer consider?

✓ **A. Review and potentially remove it if no longer justified**

B. Keep it forever regardless of circumstances

C. Convert it into a performance rating

D. Automatically double it

Q136. Sales staff receive commission, developers receive innovation bonuses, and executives receive long-term incentives. Which principle is this?

✓ **A. Segmentation**

B. Equal pay for all roles

C. Job ranking

D. Central tendency

Q137. An employee earns Rs. 72,000 monthly and the salary grade midpoint is Rs. 60,000. What does the compa-ratio indicate?

A. The employee has reached retirement age

✓ **B. The employee is above the policy midpoint**

C. The employee is exactly at the midpoint

D. The employee is below the midpoint

Q138. An organization deliberately pays approximately 10% above the industry average to attract and retain scarce talent. Which concept is being described?

A. Compa-ratio

✓ **B. Pay posture**

C. Red-circling

D. Job evaluation

Q139. Which sequence is most sensible when developing a reward system?

A. Make benefits identical without evaluating employee needs

B. Choose salary ranges before knowing the purpose

✓ **C. Set objectives, gather evidence/benchmark, design and pilot, then review**

D. Roll out immediately, define goals later, then ignore feedback

WEEK 12 - ETHICS, BIAS, AND FAIR APPRAISAL

Q140. An HR director faces pressure to hire a relative despite weak interview performance. What is the primary ethical issue?

A. Job classification

B. Broad-banding

C. Market-rate analysis

✓ D. Nepotism and conflict of interest

Q141. A university cannot significantly increase salaries, so it offers research grants, leadership opportunities, recognition, and participation in decisions. What is the principal aim?

A. Reduce academic standards

B. Replace performance appraisal permanently

✓ C. Increase engagement through non-financial rewards

D. Eliminate every concern about pay

Q142. An employee meets a target by misleading customers, while another misses it but acts honestly and helps colleagues. Under the Kantian approach described in the course, which employee's actions are favoured?

A. The one who achieves the target by any means

✓ B. The one guided by ethical intention and duty

C. Both are identical because only output matters

D. Neither, because intentions are irrelevant

Q143. A supervisor rates an employee highly in every dimension because the employee is confident and articulate, despite little evidence about other tasks. Why is this problematic?

✓ A. Subjective impression may create appraisal bias

B. It relies on employee feedback

C. It uses too much objective evidence

D. It measures too many results

Q144. One nurse's contribution is comforting patients; another's is completing measurable tasks quickly. Why can a fair overall comparison be difficult?

A. All work should be evaluated only by quantity

B. Performance appraisal has no purpose

C. Non-measurable work has no value

✓ D. Human performance has dimensions that may be difficult to measure objectively

Q145. Research scientists and sales staff are rated using very different methods, then compared directly for promotion without considering those differences. Which ethical concern is most likely?

A. Reduced subjectivity

✓ B. Unfair comparisons across employees

C. Improved procedural justice

D. Higher quality of evidence

Q146. After a poor rating, an employee cannot see the evidence or challenge factual errors because management offers no appeal. Which safeguard is missing?

✓ **A. Grievance and review mechanism**

B. Pay posture

C. Market benchmarking

D. Point-factor evaluation

Q147. A company asks managers, employees, and union representatives to help shape performance criteria before implementation. Which principle does this illustrate?

A. Forced distribution

B. Centralized authority

C. Confidential appraisal

✓ **D. Stakeholder involvement**

Q148. Which indicator would be least appropriate as a primary measure of university faculty performance?

A. Student feedback

B. Teaching effectiveness measures

✓ **C. Number of personal complaints made by colleagues**

D. Research publications

Q149. A call centre rewards employees only for calls handled per day. Employees end calls quickly and customer satisfaction declines. What is the main ethical or measurement concern?

A. Customer satisfaction should not matter

✓ **B. A single quantitative metric can ignore important qualitative outcomes**

C. No employee should be rewarded

D. Quantitative measures are always superior

Q150. A manager has a personal relationship with one appraisal candidate and does not disclose it, despite participating in the decision. What is the best ethical response?

A. Increase the candidate's score to avoid disagreement

B. Continue without documentation

C. Remove all performance standards

✓ **D. Disclose the conflict and use an impartial review process**